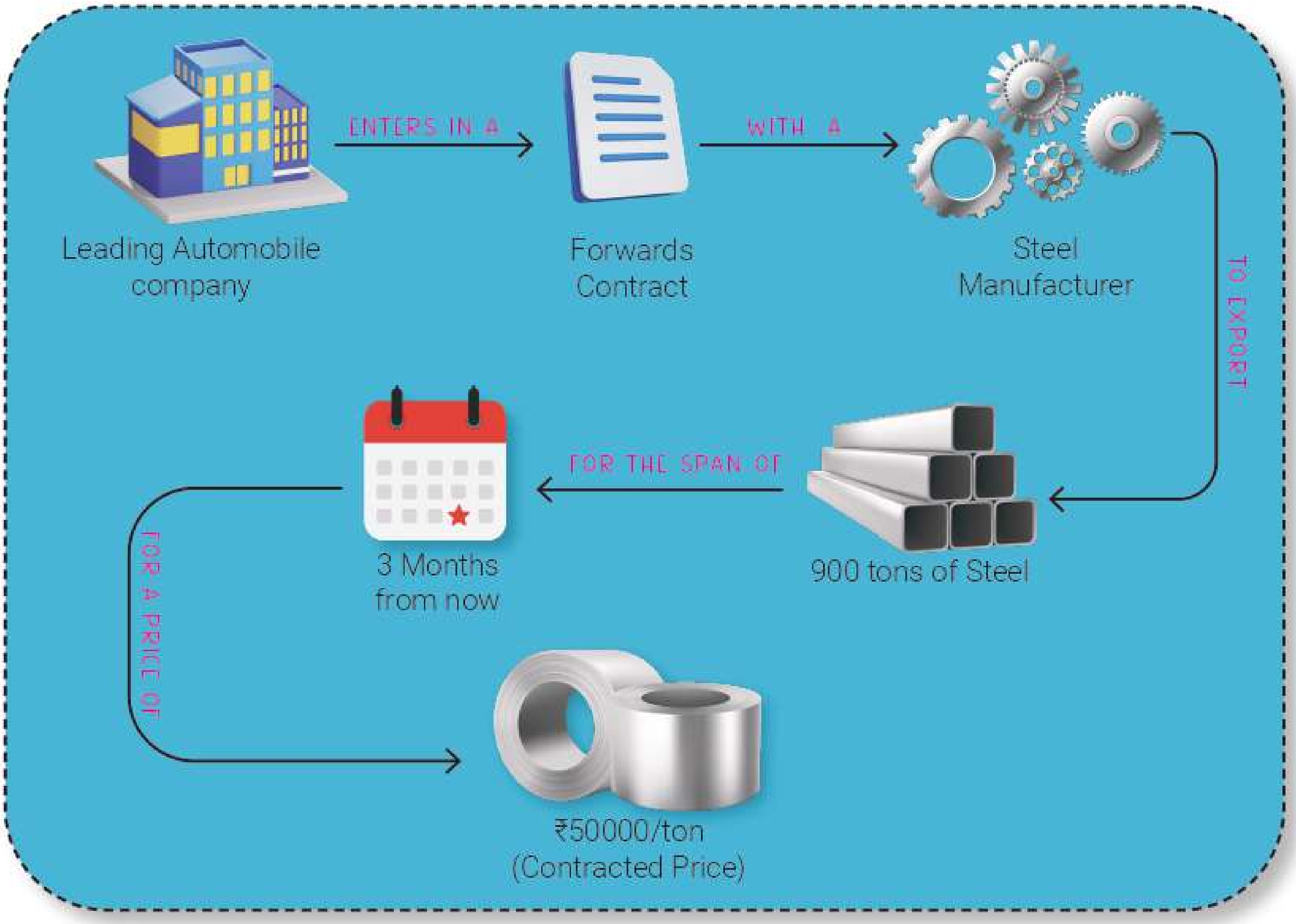
SUMMING IT UP

Process of a Forward Contract



POSSIBLE OUTCOME 1

CURRENT MARKET PRICE ▼ CONTRACT PRICE

The automobile company will incur a loss as they will have to pay a higher amount than the current market price. However, doing so, it has ensured uninterrupted supplies for itself.

POSSIBLE OUTCOME 2

CURRENT MARKET PRICE ▲ CONTRACT PRICE

The automobile company will make a profit for itself as they can secure the supplies at a cheaper price. The steel manufacturer will incur a loss.

POSSIBLE OUTCOME 3

CURRENT MARKET PRICE = CONTRACT PRICE

Zero potential profit or loss to both parties.